



Dollar cost averaging

Dollar cost averaging (DCA) is the practice of building up investment capital gradually over time, rather than investing an initial lump sum.

How it works

Catching the bottom of the market to get the best unit price is difficult, and even the experts get it wrong sometimes. One way for investors to smooth out the market's highs and lows is to spread or drip-feed money into investments instead of investing it all in one go. This is known as dollar cost averaging. For example, if \$100 a month is invested into a fund, the

sum of money would buy fewer fund units when the cost is high and more units when the cost is low. The average cost per share over time is the mean of highs and lows. As well as freeing investors from having to second-guess market movements, this approach encourages regular investing each month. Dollar cost averaging can be especially beneficial in a falling market, as the cost per unit is then lower.

Dollar cost averaging vs lump-sum investing

One key argument for regular drip-feed investing is the effect of dollar cost averaging. Dollar cost averaging allows savers to benefit from market volatility because by investing a small amount regularly, it allows them to buy units more cheaply on average.

**Investor A**
Lump sum investment

Investor A has a lump sum of \$1,400 to invest and is trying to "time the market." At the time of the investment, each share costs \$20 so the lump-sum investment buys 70 shares.

VS

**Investor B**
Dollar cost averaging

Investor B also has \$1,400 to invest but decides to feed the money into the market at \$200 a month. This buys a varying number of shares each month.

